Comment on the Notice of Proposed Rulemaking: Assessments Thresholds, Rate Schedules, and Adjustments

Submitted to: Federal Deposit Insurance Corporation, via Comments@fdic.gov (RIN 3064-AG27 in the subject line) and the Federal eRulemaking Portal (https://www.regulations.gov)
Docket / RIN: RIN 3064-AG27
Federal Register citation: 91 Fed. Reg. 39794 (June 30, 2026)
Comment period closes: August 31, 2026
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Date: August 24, 2026

Introduction and summary

Tokenization Systems is an independent research program studying the operational control layer of tokenized financial systems: the technical and organizational functions through which a financial institution actually exercises control over issuance, reserve custody, transaction routing, and the execution of lawful orders. The program builds measurement instruments that make those functions observable to supervisors, including the Minimum Viable Equivalence Pack, a ten-category structural diagnostic for diligence at decision points, and the Control Layer Intensity Index, a continuous-monitoring measure. It also conducts first-party empirical work, including a replication-archived study of the March 2023 Silicon Valley Bank episode and the associated depeg of the most heavily regulated major payment stablecoin.

This is the program's fifth FDIC comment, and the companion to its comment on the Resolution Submissions proposal (RIN 3064-AG21), filed on the same June 30, 2026 FDIC rulemaking issue. The program's prior FDIC comments addressed the prudential activities rule (RIN 3064-AG19), the application-process rule (RIN 3064-AG20), and the Bank Secrecy Act and sanctions compliance rule (RIN 3064-AG29). These comments are part of a broader set of sixteen comments the program has submitted across eight federal agencies. The recommendations below are designed to coordinate with the parallel FDIC rulemakings, and in particular with the companion resolution proposal, rather than to duplicate or contradict them; where a recommendation connects to a position the program has already stated, the comment references that position rather than restating it.

The proposed rule revises how the FDIC prices deposit-insurance risk. It raises the small-versus-large assessment-methodology threshold from $10 billion to $30 billion, which moves 76 institutions from the forward-looking large-bank scorecard to the less risk-sensitive seven-ratio small-bank method; it reduces initial base assessment rate schedules by 2 basis points for small institutions and by 1 basis point for large and highly complex institutions; and it adds a downward Resolution Readiness Adjustment (RRA) of up to 1 basis point, allocated as 0.5 basis points for passing a virtual-data-room (VDR) test and 0.5 basis points for granting the FDIC prescribed data access. The FDIC estimates the combined effect at approximately $4.0 billion per year less in assessment revenue, with large banks paying approximately 33 percent less and small banks approximately 35 percent less, and only four institutions (0.1 percent) paying more.

The central proposition of this comment is that the proposal prices size, and through the RRA prices resolvability, but does not price the risk that the March 2023 failures showed is decisive. By the FDIC's own Table 1, the $10 billion to $30 billion cohort that the rule moves to the less risk-sensitive method carries higher uninsured-deposit and brokered-deposit concentration than the small institutions it is being grouped with, so the institutions the rule makes less risk-sensitively priced are, on average, the more run-prone ones. That inverts the central lesson of March 2023, that uninsured-deposit concentration and the speed of outflow, not asset size alone, determine run vulnerability. The framework also contains no factor for crypto-asset, stablecoin-reserve-custody, or novel-activity exposure, even as banks increasingly serve as reserve custodians and banking partners to payment stablecoin issuers and financial-technology firms. And because the RRA is the voluntary backfill for the resolution-submission cuts in the companion AG21 proposal, the two should be calibrated together, and the credit should turn on a demonstration that is still current. The program does not oppose assessment relief. It recommends that the pricing track measured run risk and novel-activity concentration, and that the RRA continue to rest on a tested capability.

The recommendations are:

Recommendation	FDIC question or provision	Requested final-rule action	Why it matters
1. Run-risk factor for the reclassified cohort	Questions 1 and 2; the $10 billion to $30 billion threshold (Table 1)	Retain a run-risk-sensitive factor for reclassified banks, or condition the reclassification on a measured uninsured-deposit-concentration or rapid-growth trigger	The reclassified cohort carries higher uninsured (34.8 percent versus 32.6 percent) and insured brokered (8.3 percent versus 6.1 percent) deposit shares than the $1 billion to $10 billion small institutions Table 1 compares it to; pricing should track the run risk March 2023 showed is decisive
2. Novel-activity and concentration risk indicator	Question 12 (alternatives); Section IX (all aspects)	Add, or solicit comment on adding, a novel-activity and concentration risk indicator to the assessment framework	The framework prices size and resolvability but not crypto-asset, stablecoin-reserve-custody, or novel-activity exposure, a channel that transmitted a failure across sectors in March 2023

Recommendation	FDIC question or provision	Requested final-rule action	Why it matters
3. Keep the RRA keyed to a current demonstration, calibrated jointly with AG21	Questions 13, 17, 18, and 25; proposed Sec. 327.18	Preserve the operational test the proposed text already defines; state the Section 327.18(e)(3)(i)(B) sufficiency standard; reconcile the seven-year data-access reengagement interval with the three-year VDR retest; calibrate the RRA jointly with the companion AG21 resolution proposal; support observable partial VDR credit	A voluntary, rate-incentivized mechanism selects for the banks least likely to fail, so the Question 17 loss-reduction rationale is weakest for the non-electing tail where readiness matters most
4. Reserve-ratio slippage and the distribution of relief	Question 12; Section IX (material economic effects)	Weigh the reductions' effect on the fund's recovery and their distribution against the fairness rationale, and state the reconciliation on the record	The roughly $4.0 billion per year reduction delays the fund reaching its 2 percent designated reserve ratio to 2035 versus 2031, and relief flows in part to the more run-prone $10 billion to $30 billion tier

A note on scope and evidence precedes the recommendations. Where this comment draws on the program's first-party empirical work, that work, the program's study of the March 2023 Silicon Valley Bank episode and the associated USDC depeg, examines payment stablecoins and decentralized-finance protocols, not insured depository institutions. The FDIC supervises the assessment system for insured depository institutions; the program's study does not describe any such institution. Its findings transfer to this rulemaking as method and as a cautionary pattern about how reserve and deposit concentration and rapid outflow transmit stress, and not as evidence about any specific insured depository institution. The comment flags this scope qualification again at each figure. The run-risk claims this comment makes about banks rest on the FDIC's own Table 1 and footnote 78, and on the bank-cross-section literature: Drechsler, Savov, Schnabl, and Wang (2024), which the program consulted directly and which finds the uninsured-deposit share predicts run vulnerability only where those deposits are insensitive to market rates; and Jiang, Matvos, Piskorski, and Seru (2024) and Choi, Goldsmith-Pinkham, and Yorulmazer (2023), which the FDIC's record and the program's study both cite.

I. Price the run risk, and the novel-activity risk, that the assessment method is about to stop pricing (Recommendations 1 and 2)

Recommendation 1 (Questions 1 and 2; the $10 billion to $30 billion threshold and Table 1): Account for the reclassified cohort's above-average run-risk concentration

Question 1 asks about the advantages and disadvantages of updating the threshold from $10 billion to $30 billion, including other thresholds and other factors the FDIC should consider; Question 2 asks about the unintended consequences of a higher threshold. The program recommends that the reclassification of the $10 billion to $30 billion cohort account for that cohort's measured run-risk concentration, because the FDIC's own record indicates the reclassified banks are, on average, the more run-prone ones.

The FDIC's Table 1 (p. 39798) makes the point directly. The reclassified $10 billion to $30 billion cohort carries uninsured deposits averaging 34.8 percent, against 32.6 percent for the comparison group Table 1 uses (the 897 small institutions holding between $1 billion and $10 billion in total assets), and insured brokered deposits averaging 8.3 percent, against 6.1 percent. Both differences run in the direction of higher run risk. The direction matters because the FDIC has already identified the mechanism. Its 2023 *Options for Deposit Insurance Reform* states that "Large concentrations of uninsured deposits, or other short-term demandable liabilities, increase the potential for bank runs and can threaten financial stability" (p. 1), and it treats deposit insurance pricing as one of the tools that can constrain the risk-taking behind that exposure. A reclassification that moves a cohort measured as more exposed on precisely those funding dimensions into a methodology that weights them differently should say what happens to the pricing signal the FDIC's own analysis identifies. The seven-ratio small-bank method is not a re-labeled version of the scorecard: as the FDIC states, the small-bank methodology "uses a different set of financial measures and weights based on how the measures corresponded with the probability of failure for small banks," and the FDIC acknowledges that the shift could result in "banks with significant concentrations in higher-risk assets or elevated funding stress paying lower assessments." The reclassified banks would also shed exposure to the brokered-deposit adjustment (0 to 10 basis points, available to large and highly complex institutions only), even though brokered funding is a recognized run-risk vector and this cohort carries an above-average brokered share.

This matters because the March 2023 failures showed that uninsured-deposit concentration and the speed of outflow, not size alone, determine run vulnerability. In the bank cross-section, Jiang, Matvos, Piskorski, and Seru (2024) document that the uninsured-deposit share predicts run vulnerability, and Choi, Goldsmith-Pinkham, and Yorulmazer (2023) show that uninsured-deposit reliance, held-to-maturity losses, and size predict the cross-section of bank-stock contagion after the Silicon Valley Bank run (both as cited in the program's study of the episode). Drechsler, Savov, Schnabl, and Wang (2024), consulted directly rather than through the program's study, measure that cross-section across a 715-bank sample and validate it in an event study of the 171 publicly traded banks in that sample around the Silicon Valley Bank failure: "banks with more uninsured deposits experienced lower returns, but only if their uninsured deposits had a low beta." The refinement is directly usable in assessment design. What the market priced around that failure was not the uninsured share alone but the uninsured share of deposits whose rates do not follow market rates, so a run-risk factor for the reclassified cohort should read deposit rate sensitivity alongside the uninsured-deposit share Table 1 already reports. The NPRM's own footnote 78 ties the Deposit Insurance Fund's largest losses to the March 2023 systemic-risk determination and the special assessment for Silicon Valley Bank and Signature Bank. The speed of that outflow is also on the federal record, independently of the program's own data. The Government Accountability Office reports that Silicon Valley Bank "faced significant and sudden deposit withdrawal requests that totaled over $40 billion" the day after it announced its securities sale, that Federal Reserve Bank of San Francisco staff told GAO that the "bank's concentrated and interconnected client base began to withdraw deposits quickly after speculations about the bank's distress," and that on "the morning of March 10th, SVB expected to have an additional $100 billion in deposit withdrawal requests for that day" (GAO-23-106736, April 2023, p. 16). An assessment method insensitive to the depositor concentration behind withdrawal demand of that speed is not pricing the channel that produced the losses footnote 78 identifies. The program's first-party study of the same episode, scope-qualified as set out above and again here (it examines payment stablecoins and decentralized-finance protocols, not insured depository institutions, and transfers as method and as a cautionary pattern, not as evidence about any bank), documents how fast a concentrated exposure repriced once stress began: the affected token fell to an event-study trough of minus 9.77 percentage points ten hours into the window and stabilized only at the public backstop, and the recovery trajectory shows a structural break at that announcement (Chow $F = 7.41$, $p = 0.0012$). The pattern, not the token, is the point: concentration plus speed, not size, set the loss.

The program recommends that the FDIC either retain a run-risk-sensitive factor for the reclassified banks or condition the reclassification on a measured trigger, keyed to uninsured-deposit concentration or rapid deposit growth, so that pricing continues to track the run risk the FDIC's own record treats as decisive. A trigger of this kind preserves the relief for the low-concentration majority of the cohort while retaining sensitivity for the high-concentration tail, which is where the Deposit Insurance Fund's exposure sits.

Recommendation 2 (Question 12 and the general invitation to comment on all aspects; the absent novel-activity risk factor): Add, or solicit comment on adding, a novel-activity and concentration risk indicator

Question 12 invites comment on the rate revisions, on support for the Deposit Insurance Fund long-range management plan, and on alternatives; Section IX invites comment on all aspects of the proposal, and on material economic effects the FDIC has not identified. The program recommends that the FDIC add, or solicit comment on adding, a novel-activity and concentration risk indicator to the assessment framework, because the framework as proposed prices size and, through the RRA, resolvability, but prices novel-activity exposure nowhere, in the rule or in any of its 26 questions.

The gap is specific. The assessment system contains no factor for crypto-asset exposure, for stablecoin-reserve-custody concentration, or for novel-activity funding, even as banks increasingly serve as reserve custodians and banking partners to payment stablecoin issuers and financial-technology firms. That exposure is a run-risk and concentration channel, not an abstraction. In March 2023, a concentrated reserve-custody relationship between a payment stablecoin issuer and a single bank was a bidirectional stress channel, and the episode was resolved only by the public backstop.

The insured-depository side of that channel is on the federal record of March 2023. The Government Accountability Office reports that in 2022 Signature Bank's "deposits declined by $17.5 billion ($12 billion of which represented deposits related to the digital assets industry)" and that its "balance sheet cash holdings were reduced from $30 billion in 2021 to $6 billion in 2022" (GAO-23-106736, April 2023, p. 16). Part of that decline was deliberate, since the bank had announced in the fourth quarter of 2022 its intent to reduce its digital-asset deposit exposure; the magnitude is the point. One activity concentration moved $12 billion of an insured institution's deposits in a single year and left it holding $6 billion of cash, and in March the bank "did not have sufficient cash to fulfill its large number of deposit withdrawal requests" (p. 17). A peer concentrated in the same business, Silvergate Bank, "experienced a bank run due to concerns surrounding its involvement with the digital assets industry" (p. 17). These are insured depository institutions, and what moved their funding was activity concentration rather than asset size; the proposed framework prices the second and not the first.

The program's first-party study of the March 2023 episode documents the transmission, scope-qualified as above and again here: the study examines payment stablecoins and decentralized-finance protocols, not insured depository institutions, and transfers as method and as a cautionary pattern about how reserve and deposit concentration transmit stress, not as evidence about any bank. In that episode, the issuer of the most heavily regulated major payment stablecoin (Control Layer Intensity Index 0.92) held $3.3 billion of reserves, approximately 7.8 percent of approximately $42.1 billion, at the failed bank; its token depegged by approximately 11 percent at its intraday low, trading to roughly $0.89, below the roughly $0.92 floor implied even by zero recovery on the deposits, while the least regulated major issuer (Control Layer Intensity Index 0.52), which had no failed-bank exposure, held its peg. The stress then propagated through code: a decentralized-finance protocol's peg-stability module absorbed approximately $1.30 billion of the discounted token in a single day, importing the discount through a hardcoded exchange rate. The peg was restored not by private arbitrage but by the March 12, 2023 systemic-risk-exception backstop. The cautionary pattern for assessment risk is that concentrated exposure to a novel counterparty transmitted a failure across sectors and required the public backstop, which is precisely the kind of loss the Deposit Insurance Fund absorbs and the assessment system exists to price.

This recommendation is the program's control-layer measurement method applied to assessment risk. The Minimum Viable Equivalence Pack and the Control Layer Intensity Index measure, respectively, structural control-layer posture and its continuous intensity; the same observable, reproducible measurement can inform a novel-activity and concentration indicator that captures the reserve-custody and banking-partner exposure the current seven ratios and the scorecard do not. The program does not propose a specific coefficient; it recommends that the FDIC recognize the exposure as an assessment-risk factor and solicit comment on how to measure it.

II. The Resolution Readiness Adjustment should rest on a tested capability and be calibrated with the companion resolution proposal (Recommendation 3)

Recommendation 3 (Questions 13, 17, 18, and 25; proposed Sec. 327.18 and coordination with the companion AG21 proposal): Keep the RRA keyed to a current demonstration, calibrate it jointly with AG21, and support observable partial credit

Question 13 asks whether the RRA is appropriately calibrated; Question 17 asks whether the RRA amount is appropriately calibrated to the potential reduction in Deposit Insurance Fund losses; Question 18 asks whether the correct set of data is requested for a VDR test; and Question 25 asks whether there should be partial VDR credit and how to divide the timeliness and information subcomponents. The program offers three coordinated recommendations.

First, the proposed regulatory text already meets the program's observability-over-attestation standard, and the final rule should keep it there. Proposed Section 327.18(e) does not credit a representation: the institution must populate an FDIC-specified data room with the paragraph (e)(1) materials no later than 48 hours after the test begins, the FDIC reviews and examines what was uploaded, and the adjustment follows only a written notice that the capability was demonstrated. Proposed Section 327.18(f) is built the same way, as an engagement in which the institution must actually provide or facilitate access to its consolidated and unconsolidated ledger and its deposit and loan core data, with the adjustment removed and reimbursement owed if it does not. This is the standard the program has argued across its FinCEN and FDIC comments, a control capability demonstrated by operational test rather than represented on paper, and the FDIC has applied it here without being asked to. The FDIC's own rationale for the RRA is that an institution's ability to populate a VDR quickly "can be key to ensuring that the FDIC receives high quality bids in the event of the institution's failure," and only a demonstrated capability satisfies that rationale. The program's recommendation on this point is therefore to preserve the tested structure against any move toward certification or self-assessment in the final rule.

Two gaps remain inside that structure, and both are specific. The first is the pass criterion. Under proposed Section 327.18(e)(3)(i)(B) an institution passes if the FDIC determines that the uploaded materials are "sufficient for a potential bidder to conduct adequate due diligence to inform a potential bid," with reconcilability against the general ledger the only stated measure. A rate credit conditioned on an otherwise unstated sufficiency standard is not reproducible across institutions or across test cycles, and the program recommends that the final rule state the standard the FDIC will apply. The second is the re-verification interval. Virtual-data-room capability is retested every three years under proposed Section 327.18(e)(4)(ii), but data-access capability is reengaged only every seven years under proposed Section 327.18(f)(3)(ii), with changes in between reaching the FDIC through the institution's own material-change notice under proposed Section 327.18(f)(3)(i). Seven years is a long period to carry a rate credit for a capability demonstrated once, and it is longer still when that credit is the mechanism the companion AG21 proposal names to backfill readiness it removes permanently. The program recommends that the FDIC state why the two components are re-verified on different cycles, and consider aligning the data-access interval with the three-year virtual-data-room cycle.

Second, the FDIC should calibrate the RRA jointly with the companion AG21 resolution-submission proposal, and assess the two proposals' combined effect on Deposit Insurance Fund loss exposure rather than each in isolation. The RRA is the voluntary backfill for the mandatory readiness that AG21 removes: AG21 de-scopes the $50 billion to $100 billion tier from resolution-submission coverage and strips institution-authored resolvability and valuation analysis, and its own preamble leans on the RRA to recover the resulting readiness. A voluntary, rate-incentivized mechanism, however, selects for the institutions least likely to fail, because the banks most confident of their resolvability are the banks most willing to elect and to be tested. The Question 17 loss-reduction rationale is therefore weakest exactly for the non-electing tail, the institutions least ready to be resolved, which is where the readiness gap and the Deposit Insurance Fund exposure are largest. Calibrating the RRA against the AG21 de-scoping, and assessing whether the combined package leaves the non-electing tail unaddressed, is the coordination the two proposals require.

Third, the program supports observable partial VDR credit (Question 25), provided the subcomponents are themselves observable and measurable. Dividing credit between a timeliness subcomponent (populating the room within the prescribed window) and an information-completeness subcomponent is sound if each is scored against a demonstrated result rather than a represented one, so that partial credit reflects partial capability actually shown rather than partial capability asserted.

III. Reserve-ratio slippage and the distribution of relief (Recommendation 4)

Recommendation 4 (Question 12 and the general invitation on material economic effects; reserve-ratio slippage and distributional fairness): Weigh the distributional effect against the fairness rationale

Question 12 invites comment on the rate revisions and on support for the Deposit Insurance Fund long-range management plan, and Section IX invites comment on material economic effects. The program recommends, briefly, that the FDIC weigh two effects of the reductions against the fairness rationale that motivates them.

First, the reductions slow the Deposit Insurance Fund's recovery. The FDIC projects a decline in assessment revenue of $3.7 billion in 2027 and $22.6 billion cumulatively through 2031, reducing the fund balance by approximately $24.6 billion by 2031, with the reserve ratio reaching the 2 percent designated reserve ratio in 2035 under the proposal, against 2031 under the baseline. A four-year delay in reaching the statutory target is a material economic effect of the kind Section IX invites comment on.

Second, the relief is not distributed neutrally with respect to run risk. Part of it flows to the $10 billion to $30 billion tier that, by Table 1, carries higher uninsured-deposit and brokered-deposit concentration than the small institutions it joins, the same tier Recommendation 1 addresses. The fairness rationale for the proposal is that inflation alone pushed smaller institutions across a threshold static since 2006, over-burdening them; that rationale is reasonable on its own terms, but it is a rationale about size and inflation, not about risk. The FDIC has already explained why those two effects are connected. Its 2023 *Options for Deposit Insurance Reform* traces the chain from a run to an assessment: an abbreviated lead-up to failure leaves the FDIC less able to market the institution to potential acquirers and interested parties less able to conduct due diligence, and "[t]hese dynamics increase the cost to the DIF [Deposit Insurance Fund] and, ultimately, the banking system that must pay higher assessments to recapitalize the Fund" (p. 28). Under-pricing the run channel in one tier is therefore not a closed transaction within that tier; on the FDIC's own account, the resolution costs a run drives are borne later by the rest of the banking system, in assessments. The program recommends that the FDIC weigh the distributional effect, relief flowing in part to the more run-prone tier while the fund's recovery slows, against the fairness rationale, and state on the record how it reconciles the two. The program takes no position on the overall level of relief; it recommends only that the reconciliation be explicit.

Suggested rule text

Agencies act on language they can lift. The following is offered as drafting input for the four recommendations above, using the proposal's own defined terms and drafting conventions. Where a numerical trigger is properly the FDIC's to set, it is left bracketed rather than invented.

- **Possible regulatory text at proposed 12 CFR 327.8(e)(1) (Recommendation 1, conditioning the reclassification),** added as a proviso: "provided that an insured depository institution with total assets of at least $10 billion but less than $30 billion whose ratio of estimated uninsured deposits to total deposits exceeded [X] percent in its quarterly reports of condition for four consecutive quarters shall continue to be classified as a large institution until it reports a ratio at or below [X] percent for four consecutive quarters." This mirrors the four-consecutive-quarter reclassification mechanic the proposal already uses at proposed Sec. 327.8(e)(2), so it adds a condition rather than a new procedure.

- **Possible regulatory text at proposed 12 CFR 327.16(e) (Recommendation 1, retaining a factor instead),** as a new paragraph (5): "Funding concentration adjustment. An institution classified as small under Sec. 327.8(e) whose ratio of estimated uninsured deposits to total deposits, or whose ratio of insured brokered deposits to total deposits, exceeds the level the FDIC publishes for this purpose shall be subject to an upward adjustment of up to [Z] basis points to its initial base assessment rate." Either form preserves the relief for the low-concentration majority of the reclassified cohort while retaining sensitivity for the high-concentration tail; the FDIC need not adopt both.
- **Possible additional question on the novel-activity gap (Recommendation 2),** since the program proposes no coefficient: "Should the assessment framework include an indicator for novel-activity and concentration exposure, including reserves held for issuers of payment stablecoins, deposit or payment services provided to financial technology firms, and direct crypto-asset exposures? What currently reported data, or what additional reporting, would be required to measure such an indicator, and at what burden?"
- **Possible regulatory text at proposed 12 CFR 327.18(e)(3)(i)(B) (Recommendation 3, stating the pass criterion):** "The FDIC, after conducting a review and examination of the virtual data room, determines that the data, information, and other materials uploaded conform to the specifications the FDIC publishes under paragraph (e)(1) of this section, are complete as to each item the FDIC did not waive under paragraph (e)(2)(i) of this section, and are reconcilable against the institution's general ledger." A rate credit conditioned on a published specification is reproducible across institutions and across test cycles; one conditioned on an unstated sufficiency judgment is not.
- **Possible regulatory text at proposed 12 CFR 327.18(f)(3)(ii) (Recommendation 3, aligning the intervals):** replace "every seven years" with "every three years," so that data-access capability is reengaged on the same cycle as the virtual-data-room retest under proposed Sec. 327.18(e)(4)(ii).
- **Possible preamble statement for the final rule (Recommendation 4):** "The FDIC has considered that the proposed reductions delay the reserve ratio's return to the designated reserve ratio from 2031 to 2035, and that a portion of the relief accrues to institutions reclassified as small that report higher average uninsured and insured brokered deposit shares than the small institutions with which they are grouped. The FDIC reconciles these effects with the proposal's fairness rationale as follows." The program takes no position on the level of relief; the recommendation is that the reconciliation appear on the record rather than be left to inference.

Cross-rule alignment

The recommendations above connect this proposal to its sibling FDIC rulemakings and to the March 2023 record. The table sets out, for each connection, the alignment the program recommends.

This proposal (RIN 3064-AG27)	Sibling proposal or record	Recommended alignment
The Resolution Readiness Adjustment, a voluntary rate credit for VDR testing and data access	Resolution Submissions proposal (RIN 3064-AG21), which de-scopes the $50 billion to $100 billion tier and strips institution-authored resolvability analysis, naming the RRA to backfill readiness	Calibrate the RRA and the AG21 de-scoping together; assess their combined effect on Deposit Insurance Fund loss exposure, not each in isolation, because a voluntary incentive cannot backfill readiness for the non-electing tail
The RRA's VDR test as the measure of resolution readiness	The program's observability-over-attestation standard, argued across its FinCEN and FDIC comments (RIN 3064-AG19, RIN 3064-AG29; the program's FinCEN comments)	Preserve the demonstrated-capability structure the proposed text already uses, state the sufficiency standard that decides a pass, and re-verify data access on a cycle closer to the three-year VDR retest
The absent novel-activity and stablecoin-reserve-custody risk factor	Bank Secrecy Act and sanctions rule (RIN 3064-AG29) and the companion FinCEN and OFAC program rule, which supervise stablecoin reserve custody and control-layer posture	Where banks serve as reserve custodians and banking partners to payment stablecoin issuers, the assessment framework should recognize the concentration risk the supervisory rules already track
The reclassification of the $10 billion to $30 billion cohort to the less risk-sensitive method	The March 2023 bank-cross-section record (uninsured-deposit share predicts run vulnerability) and NPRM footnote 78	Retain a run-risk factor keyed to uninsured-deposit concentration, the variable the resolution and supervisory rules treat as decisive

The alignment the program emphasizes is the AG21 coordination. The Assessments proposal and the Resolution Submissions proposal are a coordinated pair: the RRA in this proposal is the instrument the companion proposal names to backfill the readiness it removes. Treating them as a pair, and calibrating the voluntary incentive against the mandatory requirement it replaces, is the single most consequential coordination point across the two filings.

Anticipated objections

The program anticipates five objections and addresses each briefly.

First, that the small-bank method still prices risk through CAMELS ratings and seven financial ratios, so reclassified banks are not unpriced. That is correct as stated, but it does not answer the recommendation. The FDIC's own record indicates the small-bank method uses different measures and weights, calibrated to small-bank failure probability, and that reclassified banks with elevated funding stress could pay lower assessments; the reclassified cohort also sheds the brokered-deposit adjustment. The question Recommendation 1 raises is not whether the method prices some risk, but whether it prices the specific run-risk channel, uninsured-deposit concentration and rapid outflow, that March 2023 showed is decisive for institutions in this size range.

Second, that inflation alone pushed banks across a threshold static since 2006, and indexing simply restores the stratification the FDIC intended. The program does not dispute the inflation rationale and does not oppose the relief. Recommendation 1 asks only that the reclassification account for measured run-risk concentration, which is orthogonal to the inflation-indexing rationale: a run-risk trigger leaves the relief intact for the low-concentration majority of the cohort while retaining sensitivity where the Deposit Insurance Fund's exposure concentrates.

Third, that the program's empirical evidence concerns stablecoins, not banks. That is accurate, and the comment states it at each use. The study transfers as method and as a cautionary pattern about how reserve and deposit concentration and rapid outflow transmit stress, not as evidence about any insured depository institution. The run-risk claims this comment makes about banks rest on the FDIC's own Table 1 and footnote 78, and on the bank-cross-section literature (principally Drechsler, Savov, Schnabl, and Wang 2024, consulted directly; and Jiang, Matvos, Piskorski, and Seru 2024 and Choi, Goldsmith-Pinkham, and Yorulmazer 2023 as cited in the program's study), not on the stablecoin data.

Fourth, that the RRA is a voluntary benefit and should not be constrained. The program supports the RRA and supports partial credit for it. The recommendation is about calibration and currency, not restriction: the proposal's tested structure is the right one, and the program asks only that the criterion deciding a pass be stated, and that a credit standing in for permanently removed readiness not rest on a demonstration up to seven years old. A voluntary incentive calibrated in isolation from the companion AG21 de-scoping also leaves the non-electing tail, where readiness matters most, unaddressed. Stating the standard and calibrating the incentive jointly with the requirement it backfills strengthens the RRA's own loss-reduction rationale rather than weakening the relief.

Fifth, that the FDIC's own reading of Table 1 describes the two groups as similar, so the differences Recommendation 1 relies on are immaterial. The proposal states that the two groups reported "approximately similar shares of deposit and loan types and leverage ratios" (p. 39797) and "approximately similar shares of foreign deposits, uninsured deposits, and real estate loans" (p. 39798). The program does not dispute that as a description of the table as a whole. It observes that the similarity is not uniform across the rows. Every liability row in Table 1 runs higher for the reclassified cohort, and the two that bear on run risk run higher by the same margin: uninsured deposits by 2.2 percentage points and insured brokered deposits by 2.2 percentage points. The asset-side rows and the leverage ratio run lower for that cohort. The recommendation does not claim the cohort is dissimilar overall; it observes that where the two groups differ, they differ in the direction of higher run risk, on exactly the measures the FDIC's own resolution record treats as run-risk drivers, and it asks that the pricing continue to track that difference for the tail where it is largest.

Conclusion

The proposed rule prices deposit-insurance risk by size, and through the Resolution Readiness Adjustment by resolvability, but it moves the $10 billion to $30 billion cohort to a less risk-sensitive method precisely as the FDIC's own Table 1 shows that cohort to carry higher uninsured-deposit and brokered-deposit concentration than the small institutions it joins. The central lesson of March 2023 is that concentration and the speed of outflow, not size alone, determine run vulnerability; the proposal should not invert it. The program's four recommendations keep the relief the FDIC proposes while directing the pricing to the risk the record identifies: retain a run-risk-sensitive factor or trigger for the reclassified cohort (Recommendation 1); add, or solicit comment on adding, a novel-activity and concentration risk indicator (Recommendation 2); keep the RRA keyed to a current demonstration, state the criterion that decides a pass, and calibrate the adjustment jointly with the companion resolution proposal (Recommendation 3); and weigh the reductions' effect on the fund's recovery and their distribution against the fairness rationale (Recommendation 4). Each recommendation asks the FDIC to price a measured risk rather than to relax a measured one; a pricing system anchored in observed run risk imposes discipline, not burden. The program appreciates the opportunity to comment and is available to provide any of the underlying analysis referenced above.

Respectfully submitted,

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Appendix: Selected Sources

The proposed rule and its companion.

- Federal Deposit Insurance Corporation, Assessments Thresholds, Rate Schedules, and Adjustments, Notice of Proposed Rulemaking, 12 CFR Part 327, RIN 3064-AG27, 91 Fed. Reg. 39794 (June 30, 2026). Table 1, p. 39798 (uninsured-deposit and insured-brokered-deposit shares of the reclassified cohort, against small institutions holding $1 billion to $10 billion); footnote 78 (Deposit Insurance Fund losses and the March 2023 systemic-risk determination); the rate-schedule, RRA, and revenue-impact provisions cited above.
- Federal Deposit Insurance Corporation, Resolution Submissions Required for Covered Insured Depository Institutions, Notice of Proposed Rulemaking, 12 CFR Part 360, RIN 3064-AG21, 91 Fed. Reg. 39546 (June 30, 2026). The companion resolution proposal

whose readiness the RRA is offered to backfill; the program's comment on RIN 3064-AG21 is filed with this comment.

The FDIC's own analysis of deposit insurance and run risk.

- Federal Deposit Insurance Corporation, *Options for Deposit Insurance Reform* (May 1, 2023), Section 1, p. 1 (concentrations of uninsured deposits and other short-term demandable liabilities as a driver of run potential); Section 4, p. 28 (Minimizing Disruptions From Bank Resolution: an abbreviated lead-up to failure raises resolution costs, which increase the cost to the Deposit Insurance Fund and the assessments the banking system must pay to recapitalize it); Section 5 (risk-based deposit insurance pricing among the tools that constrain bank risk-taking).

The federal record of the March 2023 failures.

- U.S. Government Accountability Office, Bank Regulation: Preliminary Review of Agency Actions Related to March 2023 Bank Failures, GAO-23-106736 (April 2023). Page 16 (Silicon Valley Bank's deposit withdrawal requests of over $40 billion, the concentrated and interconnected client base behind them, and the additional $100 billion expected on March 10, 2023; Signature Bank's 2022 deposit decline of $17.5 billion, $12 billion of it related to the digital assets industry, and its cash reduction from $30 billion in 2021 to $6 billion in 2022); page 17 (Signature Bank's insufficient cash against its withdrawal requests; Silvergate Bank's run).

The program's first-party empirical work (scope-qualified: payment stablecoins and decentralized-finance protocols, not insured depository institutions; method and cautionary pattern only).

- Zukowski, Anatomy of a Stablecoin Run: Reserve Exposure, Impaired Arbitrage, and Code-Level Contagion in the March 2023 USDC Depeg (Tokenization Systems, draft, June 2026). Source of the reserve-concentration figures ($3.3 billion, approximately 7.8 percent of approximately $42.1 billion), the depeg-magnitude figures (approximately 11 percent at the intraday low; roughly $0.89 against a roughly $0.92 zero-recovery floor), the event-study figures (trough of minus 9.77 percentage points at hour +10; structural break at the FDIC backstop, Chow F = 7.41, p = 0.0012), the peg-stability-module figure (approximately $1.30 billion absorbed in one day), and the policy-driven-recovery finding cited above.

Bank-cross-section literature (the first entry consulted directly; the remaining two as cited in the program's study).

- Drechsler, Savov, Schnabl, and Wang, Deposit Franchise Runs, National Bureau of Economic Research Working Paper 31138 (April 2023, revised September 2024); consulted directly and quoted above from that working paper. Source of the event-study result that banks with more uninsured deposits experienced lower returns around the Silicon Valley Bank failure only where those deposits had a low deposit beta (sample of 715 United States commercial banks with at least $1 billion in assets; 171 publicly traded banks in the event study).
- Jiang, Matvos, Piskorski, and Seru (2024), on monetary-tightening losses across the banking system and the uninsured-deposit share as a predictor of run vulnerability in the cross-section of banks.

- Choi, Goldsmith-Pinkham, and Yorulmazer (2023), on uninsured-deposit reliance, held-to-maturity losses, and size as predictors of the cross-section of bank-stock contagion after the Silicon Valley Bank run.

The program's prior FDIC comments, referenced for coordination and not restated.

- RIN 3064-AG19 (prudential activities rule); RIN 3064-AG20 (application-process rule); RIN 3064-AG29 (Bank Secrecy Act and sanctions compliance rule); and the companion RIN 3064-AG21 (Resolution Submissions), filed with this comment. The program's observability-over-attestation standard is argued across these comments and its FinCEN comments.